

Harbourline — management software for homeowner associations

The Problem

A company managing 140 homeowner associations handles governance for each one separately: board meetings, minutes, votes, dues collection, reserve fund accounting, violation notices and the statutory filings that vary by state.

Most of it runs on software written in the 2000s or on nothing at all. Dues collection is by cheque in a majority of associations we have surveyed. A missed statutory notice is not an inconvenience — in several states it invalidates the assessment.

Our Solution

Harbourline runs the full lifecycle for a homeowner association in one system.

Dues are collected by direct debit with automated delinquency handling. Board votes run electronically with a quorum and record that satisfies statutory requirements in the states we cover. Reserve accounting follows the study. Violation notices are generated with the correct notice periods for the jurisdiction, and the record is kept in a form that stands up when a dispute reaches a lawyer.

Owners get a portal that works on a phone, which is the single most requested thing in this market and the thing the incumbents do worst.

We cover statutory requirements in eleven states. Each one took between three and seven weeks of work with local counsel.

The Market

There are approximately 370,000 homeowner associations in the United States, managed by around 9,000 management companies.

The market is regulated state by state, which is both the moat and the ceiling. Every state we add is a separate body of law, and a competitor entering has to do the same work eleven times to match our coverage. It also means our expansion rate is bounded by legal work rather than by engineering, and that several states have rules restrictive enough that we have decided not to enter them at all.

The eleven states we cover contain roughly 44% of US associations. Realistic reachable revenue is materially smaller than the association count suggests.

Competition

Three legacy vendors hold most of the installed base with products that predate mobile. Two newer entrants cover dues collection only.

The Team

Dana Whitfield and Erik Sandoval founded Harbourline three years ago. Dana previously worked in operations at a property management company for two years. Erik was a software engineer at two mid-sized companies.

Neither of us has founded a company before, neither has worked in association governance, and we learned this market by cold-calling managers for four months before we wrote any code. Twenty-nine people now, and our head of compliance has more relevant experience than either founder.

Traction

- 310 management companies, covering 11,900 associations
- \$8.4M annual recurring revenue, up from \$3.2M eighteen months ago
- 4.1% annual churn
- 74% of associations on the platform now collect dues electronically, against 31% at onboarding
- net revenue retention 128%

Business Model

\$2.40 per door per month, plus payment processing revenue on dues collected. Average management company pays \$2,280 a month.

Gross margin 81%. Acquisition cost \$9,100 against first-year contract value of \$27,400.

Go-To-Market

Direct sales to management companies, plus a presence at the state association conferences where these buyers all go.

Funding

We are raising \$20M to reach six further states and to build the reserve study integration that management companies currently buy separately.